

VENDOR COLLABORATION IN D365

Vendor Collaboration in Dynamics 365 enables seamless communication and collaboration between your organization and your external vendors. It allows vendors to interact with your system in a secure and user-friendly environment, ensuring smooth order processing, invoicing, and other essential functions.

The vendor collaboration interface exposes a limited set of information about purchase orders, invoices, and consignment stock to external vendor users. From this interface, a vendor can also reply to requests for quotation (RFQs), and view and edit basic company information.

Key Features:

- **Vendor Portal Access:** Vendors can access a portal where they can view purchase orders, track order statuses, submit invoices, RFQ's and manage shipments.
- **Purchase Order Management:** Vendors can acknowledge purchase orders, provide updates on order status, and communicate any changes directly through the portal.
- **Invoice Submission:** Vendors can submit invoices directly through the system, helping to streamline the invoicing process and reduce errors.
- **Document Exchange:** Key documents such as purchase orders, receipts, and invoices can be exchanged electronically, improving efficiency and record-keeping.
- **Request for quotation:** RFQ in Vendor Collaboration is a feature that enables your organization to solicit bids or quotations from vendors for specific goods or services. This process helps streamline procurement and ensures you get the best price and terms from vendors before making purchasing decisions.
- **Vendor Performance Tracking:** You can monitor vendor performance, including delivery times, quality of goods, and invoice accuracy, allowing for better vendor management and decision-making.
- **Secure Communication:** All interactions and data exchanged are encrypted and securely stored, ensuring confidentiality and integrity of vendor-related information.

Benefits:

- Improved vendor relationships through easier communication and transparency.
- Streamlined order processing and invoicing.
- Reduced manual data entry, minimizing errors and improving accuracy.
- Enhanced visibility and control over the supply chain.

Vendor Collaboration portal setup for existing vendors

Before setting up Vendor Collaboration in Dynamics 365, make sure the correct security roles are in place. These roles control the access vendors have when using the Vendor Collaboration portal.

Navigate to External Roles Setup: Go to **System administration > Security > External roles**.

External roles define the access that users (in this case, vendors) will have when collaborating with your organization through the Vendor portal.

Activate Vendor Collaboration for the Vendor

After setting up the security roles and ensuring that the necessary workflow configurations are active, navigate to **Procurement and sourcing > Vendors > All vendors**. Find and select the vendor you want to activate for collaboration. Ensure that the Vendor collaboration access is enabled for the vendor.

The screenshot shows the 'Vendor' record page in SAP S/4HANA. The 'Vendor Collaboration' section is highlighted with a red box. It contains the following options:

- Collaboration activation: Active (PO is not auto-confirmed) (selected)
- Not Active
- Active (PO is not auto-confirmed)
- Active (PO is auto-confirmed)

The 'Vendor Collaboration' section is located in the 'OTHER INFORMATION' tab. The 'Collaboration activation' dropdown is set to 'Active (PO is not auto-confirmed)'. The 'Not Active' option is also visible. The 'Active (PO is not auto-confirmed)' and 'Active (PO is auto-confirmed)' options are also visible.

Once Vendor collaboration is changed to Active click on contacts tab of the same vendor and click add contacts to create contact for the vendor user.

The screenshot shows the 'Vendor' record page in SAP S/4HANA. The 'Contacts' tab is selected, and the 'Add contacts' button is highlighted with a red box. The 'Add contacts' button is located in the 'Contacts' dropdown menu. The 'Add contacts' button is located in the 'Contacts' dropdown menu. The 'Add contacts' button is located in the 'Contacts' dropdown menu.

Enter the contact details and save the contact information.

Once the contact is added, click on **Provision vendor user** to create user profile for the vendor in the system.

In the **Email (user alias)** field, enter the vendor's email address (the email will be used for sending collaboration invitations). Provide a **Business justification** for why the user is being provisioned (for example, to access purchase orders, submit invoices, etc.).

After the vendor user is provisioned, select the **Vendor collaboration access allowed** checkbox to ensure that the user has permission to access the vendor portal.

And assign **user roles** to the provision vendor user, after assigning the role and provisioning the user, submit the request for approval. The request will go through a workflow for approval by the system administrator or the relevant person in your organization.

The screenshot shows the 'Provision vendor user' form with several red and green annotations. Red boxes highlight the 'Email (user alias)' field, the 'Business justification' text area, the 'Vendor col...' checkbox in the 'Legal entities' table, and the 'Assign user roles' section. Green boxes highlight the 'First name' field and the 'Business justification' text area. A vertical grey bar is on the right side of the form.

Standard view ▾

Provision vendor user

IDENTIFICATION

First name
sdfcsaf

Middle name

Last name

Personal title

USER SETUP

Email (user alias)
*

Language
en-in ▾

Business justification
*

Legal entities the person is a contact for

Legal entity in my company	Legal entity in customer co...	Inactive	Vendor col...
		No	☐

Assign user roles

Role description	Assign
Maintains vendor documents and responds to vendor inquiries in the vendor collaboration i...	☐
Maintains vendor contact persons and vendor user requests	☐

Submit Cancel

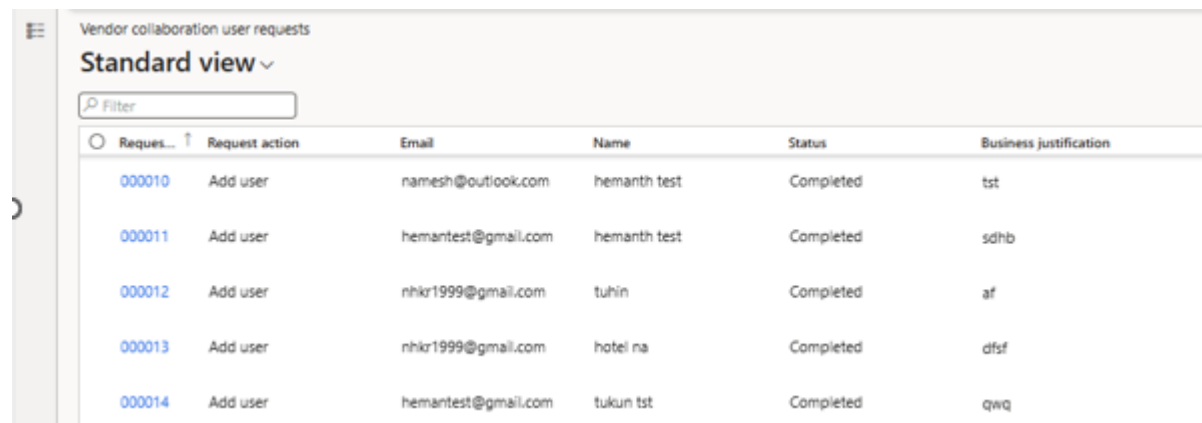
The Vendor collaboration access has been successfully applied and the request to create new user will get submitted to the workflow, and once the user request has been processed, the status of the user request will be set to completed.

Checking the Status of Vendor Collaboration User Request

Navigate to Vendor Collaboration User Requests

Go to **Procurement and sourcing > Vendors > Vendor collaboration requests > Vendor collaboration user requests**.

This will open a list of all the vendor collaboration requests that have been submitted

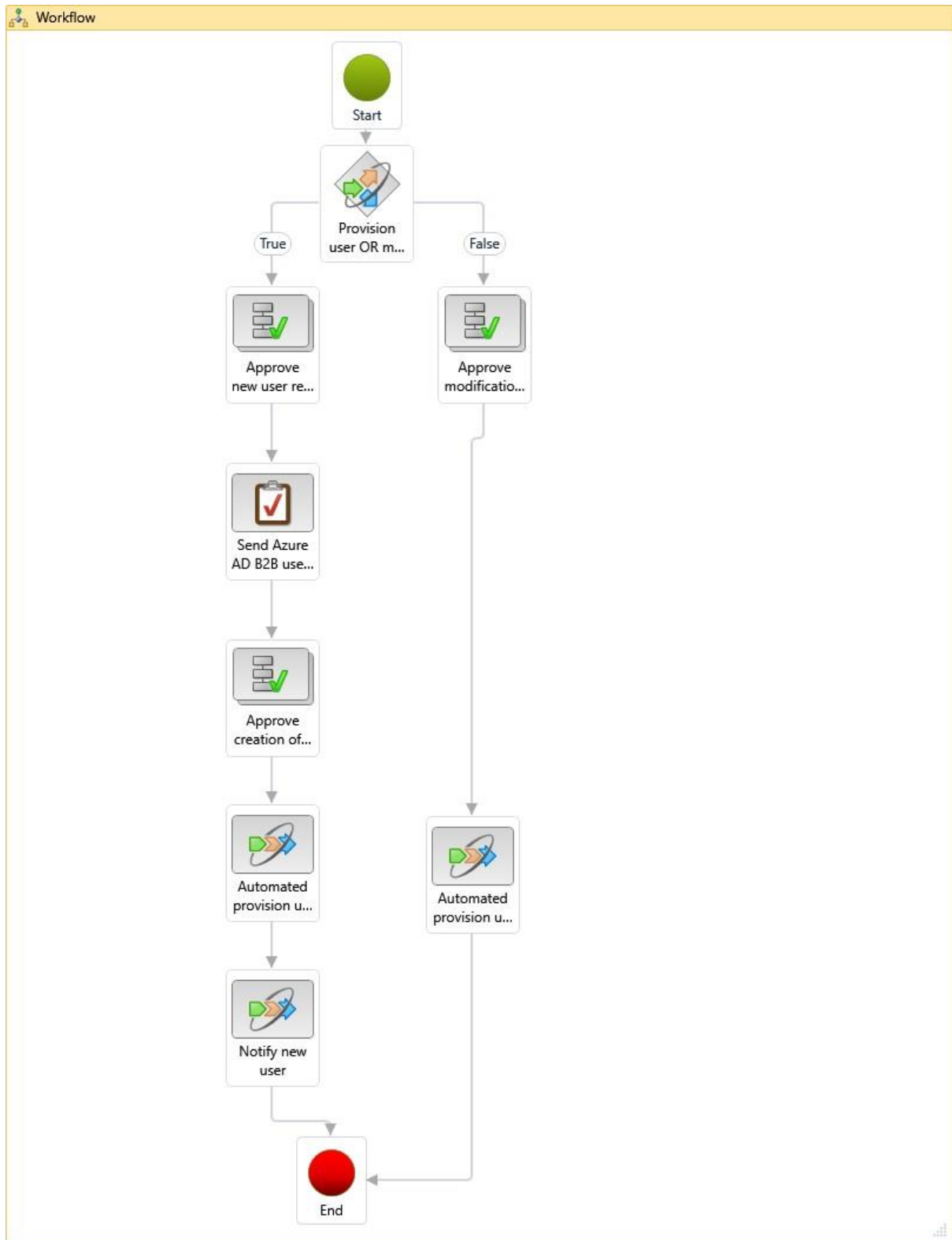


The screenshot shows a web interface for 'Vendor collaboration user requests'. It features a 'Standard view' dropdown and a search filter. Below is a table with columns: Request ID, Request action, Email, Name, Status, and Business justification. Five requests are listed, all with a status of 'Completed'.

Request ID	Request action	Email	Name	Status	Business justification
000010	Add user	namesh@outlook.com	hemanth test	Completed	tst
000011	Add user	hemantest@gmail.com	hemanth test	Completed	sdhb
000012	Add user	nhkr1999@gmail.com	tuhin	Completed	af
000013	Add user	nhkr1999@gmail.com	hotel na	Completed	dfs
000014	Add user	hemantest@gmail.com	tukun tst	Completed	qwq

After locating the user request open the details page where you can see the status of the workflow. To check the progress of the request through the approval workflow click on workflow tab.

Vendor request workflow:



As part of the first step of the workflow the **Azure AD B2B user invitation file** will get generated which contains Signup and registration URL of the D365 for the vendor

Finance and Operations

Search for a page

Standard view

User request details

GENERAL

Request action: Add user

Request type: Vendor collaboration user re...

Created by: Admin

Status: Microsoft Entra ID B2B user i...

Details

IDENTIFICATION

Email: ayyadurai.vasanth@ihs.in

Language: en-in

Business justification:

USER SETUP

Name: Sameerkanta Pradhan

New USER

User's roles

+ New - Delete

☐ User role

☒ Vendor contact (external)

Vendor admin (external)

After the Azure AD B2B user invitation is generated the workflow needs to be submitted again and upon completion of the workflow status will be completed.

Finance and Operations

Search for a page

Standard view

User request details

GENERAL

Request action: Add user

Request type: Vendor collaboration user re...

Created by: Admin

Status: Completed

Details

IDENTIFICATION

Email: ayyadurai.vasanth@ihs.in

Language: en-in

Business justification:

USER SETUP

Name: Sameerkanta Pradhan

New USER

User's roles

+ New - Delete

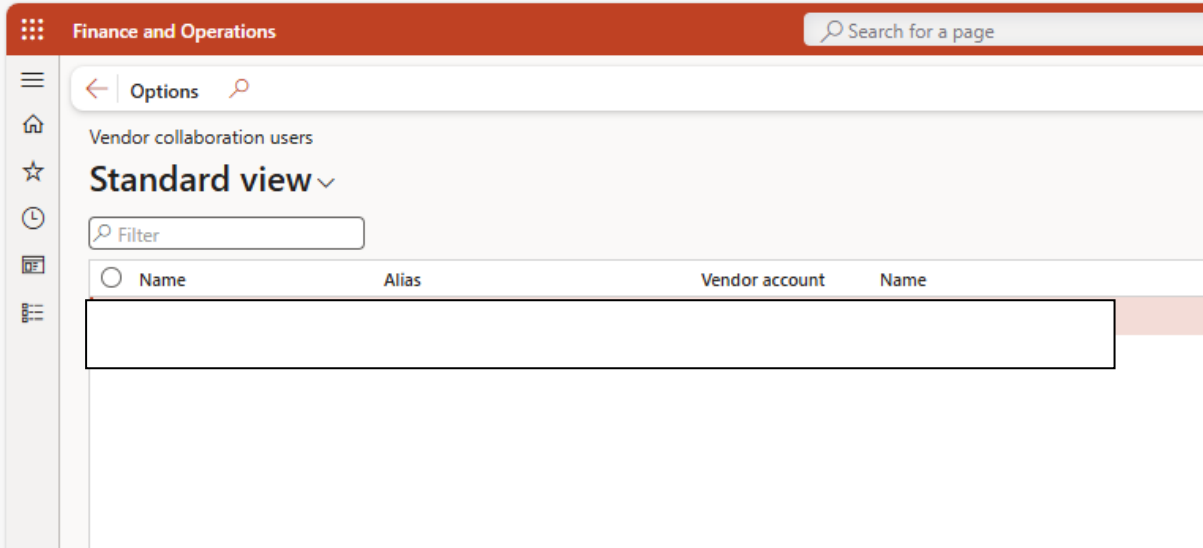
☐ User role

☒ Vendor contact (external)

Vendor admin (external)

Once the Vendor Collaboration user request workflow is completed, the vendor user will be available in the Vendor collaboration users list.

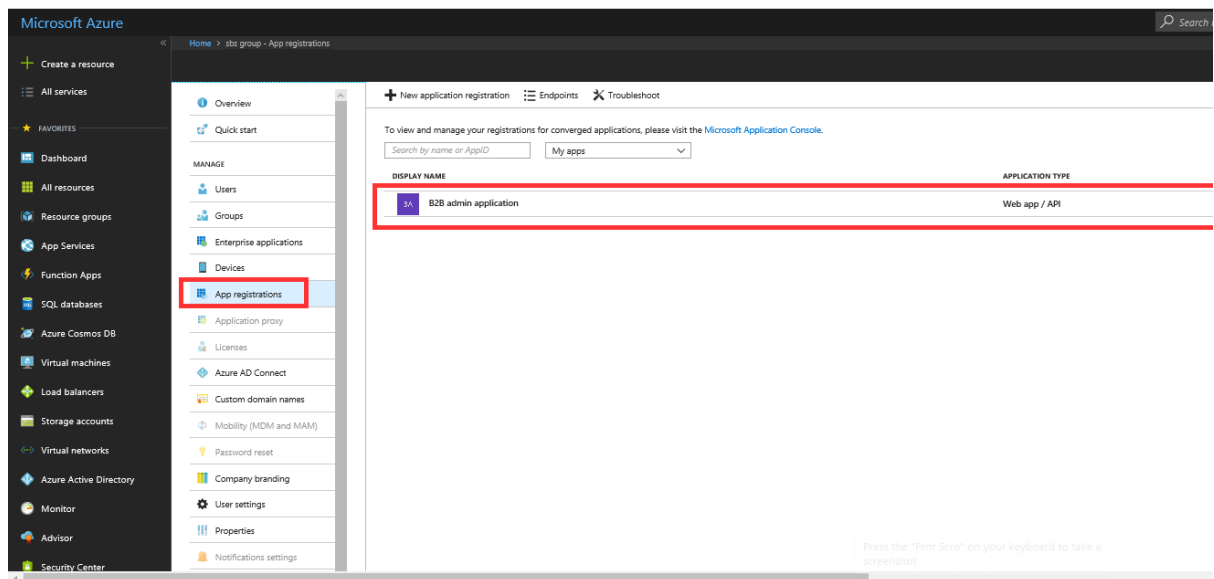
Navigate to Vendor collaboration users Go to **Vendor collaboration > Contacts > Vendor collaboration users**.



And with instructions on how to log in and start using the collaboration portal vendor can access their purchase orders, invoices, RFQ's and other necessary documents directly within the portal.

Alternately, you can use the automated task for provisioning the Azure AD B2B user account. If you chose to use the automated task, you need to make sure to complete the below setups.

- Register the D365FO app within Azure AD in Azure portal.
- Complete the required setup for the API permissions for Microsoft Graph for the D365FO app. The automated task of the user setup workflow will invoke this to provision the user account in Azure AD.
- Setup the Client ID, Application Keys within D365FO B2B invitation configuration page of D365FO.



With the above setup done, the automated task will provision the Azure AD user for the vendor user automatically. In the next step of the user setup workflow, you can set up automated tasks for provisioning the user account within D365FO and send the email notification to the vendor with a URL link to D365 for signup and registration. You can set up an email template and use (D365 portal URL) in the email message, which will automatically include the URL of D365FO, when it sends the email notification to the vendor.